INVESTMENT CHALLENGE

As per the recent informations released[52] by the GoI, the concerns and policies regarding the investment scenario in the industrial sector is as given below:

Gross Capital Formation (GCF): Investment and capacity additions are critical for sustained industrial growth- data clearly indicate a moderation in the growth of GCF in industry- the rate of growth of GCF in four broad sectors of industry comprising mining, manufacturing, electricity, and construction averaged 10.9 per cent during **2004-11**, almost the same as the rate of growth of GCF in the economy as a whole. The micro, small, and medium enterprises segment had ***the lowest*** medium-term growth of only 0.8 per cent during this period. The share of GCF in industry as per cent to the overall GCF, after peaking to a level of **54.9** per cent in 2007-8, moderated to **48.3** per cent in 2010-11.

Investment Intentions: While GCF indicates actualisation of investment, investment intentions indicated in the *Industrial Entrepreneur Memorandums* (IEMs) filed are lead indicators of likely investment flow to industry and of entrepreneurs' perception. The investment intentions also provide the sectoral preferences of investors and shifts in these preferences over time. During 2001-10, overall investment indicated in the IEMs filed increased at an average annual rate of 38.7 per cent.

Foreign Direct Investment (FDI): FDI, being a *non-debt capital flow*, is a leading source of external financing, especially for the developing economies. It not only brings in capital and technical know-how but also increases the competitiveness of the economy. Overall it supplements domestic investment, much required for sustaining the high growth rate of the country. Since 2000, significant changes have been made in the FDI policy regime by the government to ensure that India becomes an increasingly attractive and investor-friendly destination.

The current phase of FDI policy is characterised by ***three broad entry options*** for foreign direct investors –

(i) in few sectors, FDI is not permitted (negative list);